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Common Deductions for Real Estate Investors

Advertising

Any advertising cost incurred for the purpose of renting out the property is deductible. This includes all the online ad costs, 'for rent' signs that you purchase or specifically made for your property, etc.

Auto Expenses

Different criteria apply if you own one property vs. when you own more than one property.

For investors who only own one property, you are only allowed to deduct motor vehicle expenses if

- The rental property is in the same general area that you live in
- You do repairs & maintenance for your property
- You have vehicle expenses to transfer tools & materials to the property

But you cannot deduct the expenses you incur for the purpose of collecting rent if you have only one property.

For investors who own more than one rental property, in addition to the expenses incurred for repairs & maintenance and transferring tools & materials as mentioned above, you can also deduct the auto expenses incurred for the following reasons:

- Collecting rents
- Supervising repairs
- Generally managing the properties

To qualify for the multiple properties criteria, you must have at least two different rental locations other than your principal residence. This means that if you rent out your basement apartment and have one single family detached home as rental property, you still cannot deduct any expenses incurred for collection of rent, supervision of repairs and general management of the properties.

Capital Cost Allowance

Capital cost allowance is the tax term Canada Revenue Agency uses to represent the depreciation or wear and tear on enduring assets such as a building. It is a deferral mechanism allowed by CRA to defer a portion of the income on your property until the year you sell it.

When you sell it, all the deductions taken throughout the year have to be reported as income provided you have a gain on the sale of the property.

Generally, if the rental property is or was your principal residence, it's advisable **not** to claim CCA so you preserve 100% of your principle residence exemption for the maximum period allowed.

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Financing Charge
Financing charge is usually one of the most missed deductions for real estate investors. Some real estate investors incur mortgage insurance expense or finder fees for their mortgages. These expenses can be deductible over a period of time, typically the term of the mortgage.

Insurance
Insurance coverage for rental properties is different than the home that you live in. Generally speaking, insurance premiums on rental properties are more expensive than your personal home.

Line of Credit Interest
Many real estate investors start out by refinancing their own home to obtain the down payment of their real estate investment.

Mortgage Interest, Not the Mortgage Principal
Mortgage payments consist of mortgage interest and principal payments. Mortgage interest is a deductible expense but principal payments are not.

The breakdown between the two can usually be found on your annual mortgage statement you receive at the beginning of the following year.

Property Management Fees / Commission You Paid
If you hire a property manager or use a realtor to find a tenant for you, these are deductible expenses. Make sure you get the invoice from them to support your expense.

Property Taxes & Utilities
Municipal property taxes and utilities are generally deductible against rental income. One of the most missed property tax and utilities deduction is at the year of purchase or the year of sale. Some of the adjustments are handled by the lawyers and many investors would miss these deductions.

Specifically, for investors who converted their primary residence to a rental property, only the expenses related to the rental period would be deductible.

Repairs & Maintenance
Repairs & maintenance are generally deductible expenses. The tricky part is to determine whether an expense incurred should be capitalized and written off over time or should be expensed immediately.

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